Executive overview

Meridian Logistics closed the third quarter with revenue of 48.2 million dollars, up 6% on the previous year. Volumes rose in every region except the Gulf, where a port strike removed nine working days. Management attributes the growth mainly to the new cold-chain contracts signed in April, which now account for a fifth of revenue.

Headcount was flat at 1,140, and overtime fell for the second quarter running as the new scheduling software bedded in. This review covers operations, cost pressures and the outlook for the final quarter of the year.

Operations and cost pressures

The Dallas warehouse automation project finished eleven days ahead of plan. Pick rates there have doubled since launch, though we are still training staff to handle the exceptions that the robots cannot.

Operating margins contracted by 4.2% over Q3 due to supply chain bottlenecks at the Rotterdam hub. Fuel surcharges rose faster than we could pass them on to customers. Two long-haul carriers failed to meet agreed delivery windows, and we paid penalty fees on thirty-one shipments. In response we have moved forty percent of Rotterdam volume to the Antwerp terminal.

We also renegotiated the carrier contracts to include stricter penalties. Early data from October suggests transit times have improved by almost a day.

Outlook

For the fourth quarter we expect seasonal volumes to lift revenue by roughly nine percent. The Singapore expansion remains on schedule for February, subject to customs approval. We do not plan further price increases before the new fiscal year.

The board will review the capital budget in December, with automation at two more sites the leading candidate for investment.